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Investor Presentation | Asia Pacific

Asia Summer School: S. Korea Batteries

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S. KOREA ENERGY & MATERIALS

Asia Pacific

Industry View

In-Line

S. KOREA AUTOS & SHARED MOBILITY

Asia Pacific

Industry View

In-Line

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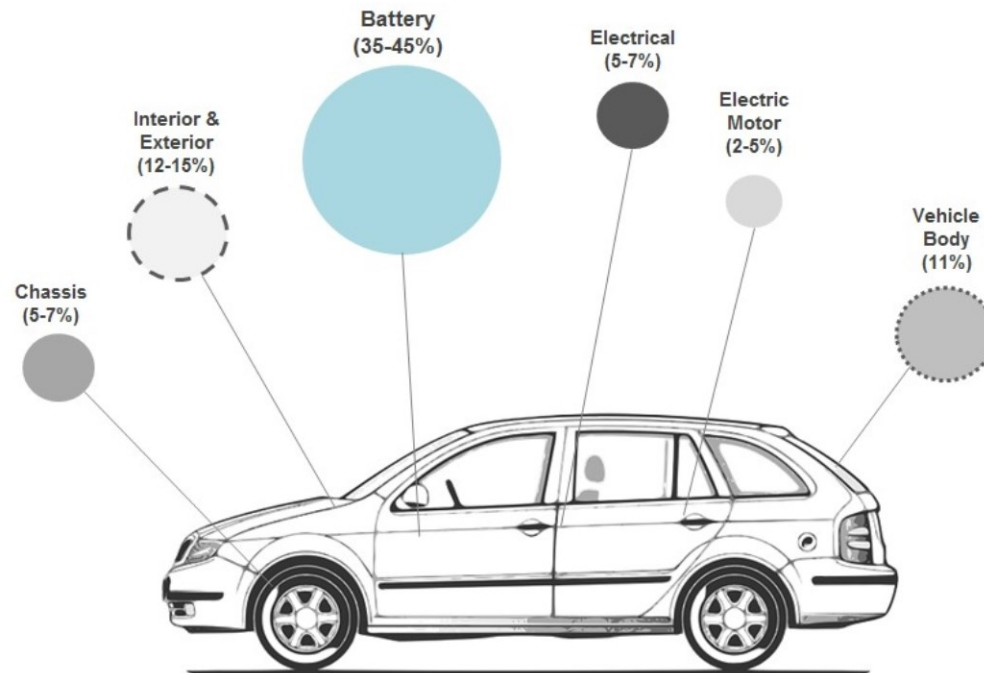
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Asia Summer School 2026



S. Korea Batteries – EV: Undergoing Once-in-a-century Transformation

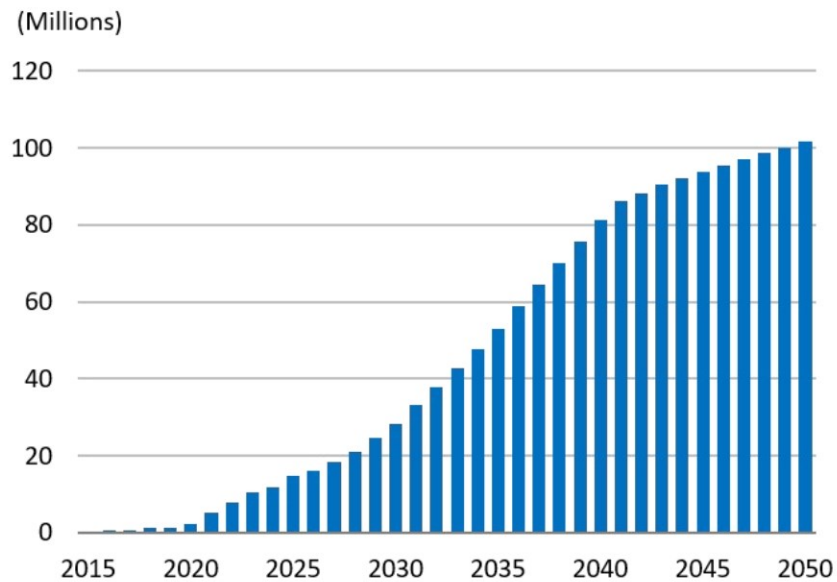
**Bubble size represents % of total component cost*



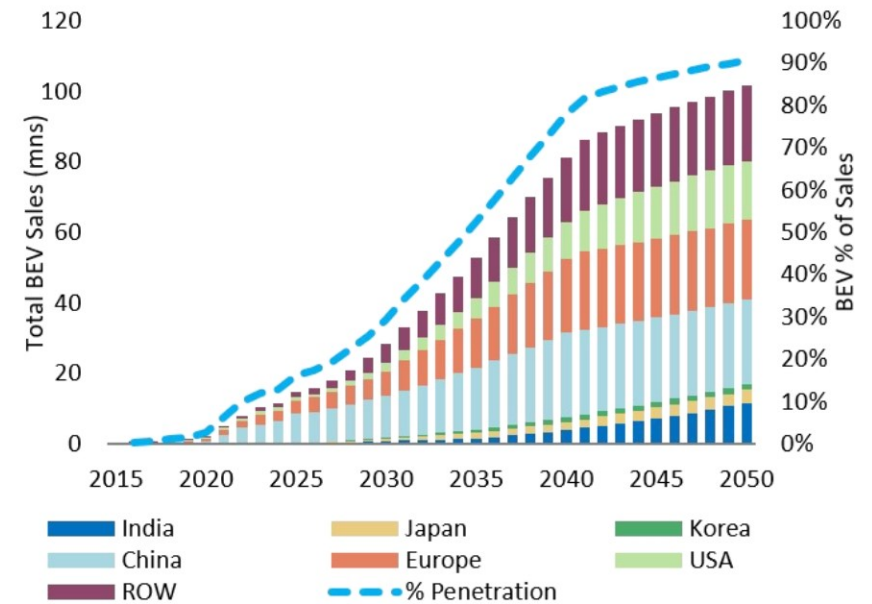
Source: Company data, Morgan Stanley Research

S. Korea Batteries – EV: Driven by Globally Coordinated Direction

Global BEV Volume Growth Outlook



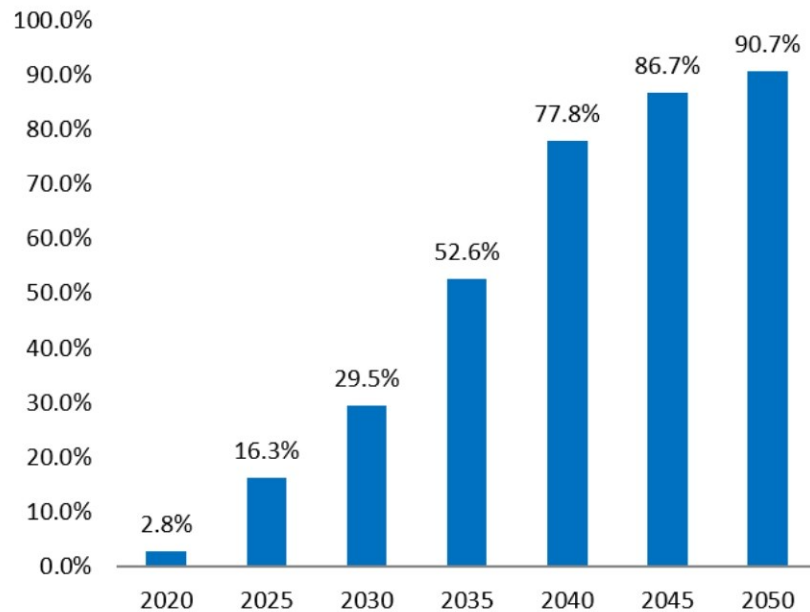
Europe, China and the US Are Key Markets



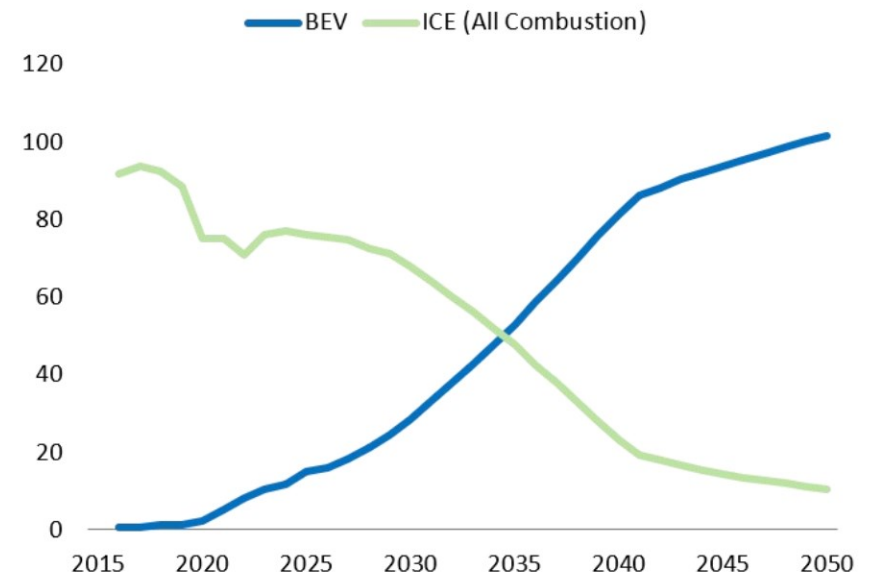
Source: Morgan Stanley Research estimates

S. Korea Batteries – EV: Driven by Globally Coordinated Direction

Global EV Sales Penetration Forecasts



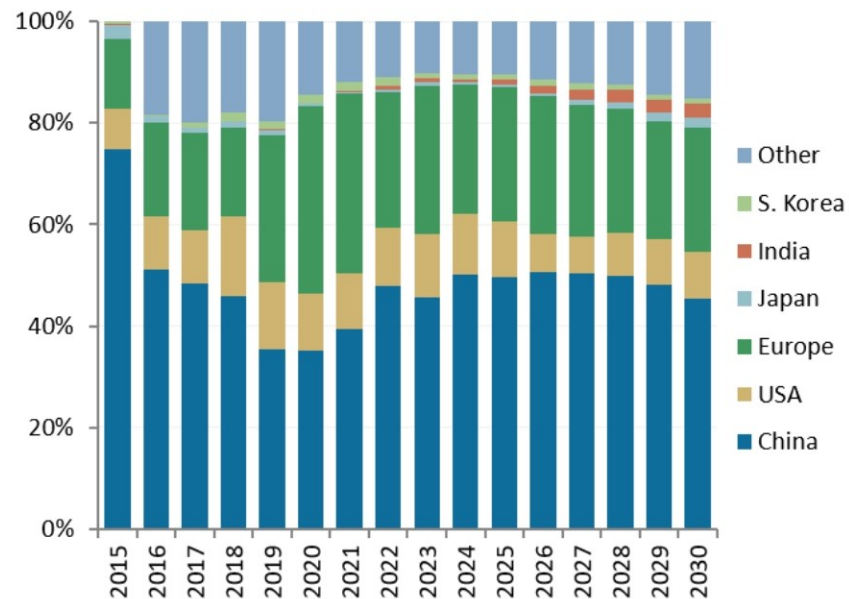
BEV vs. ICE Unit Sales



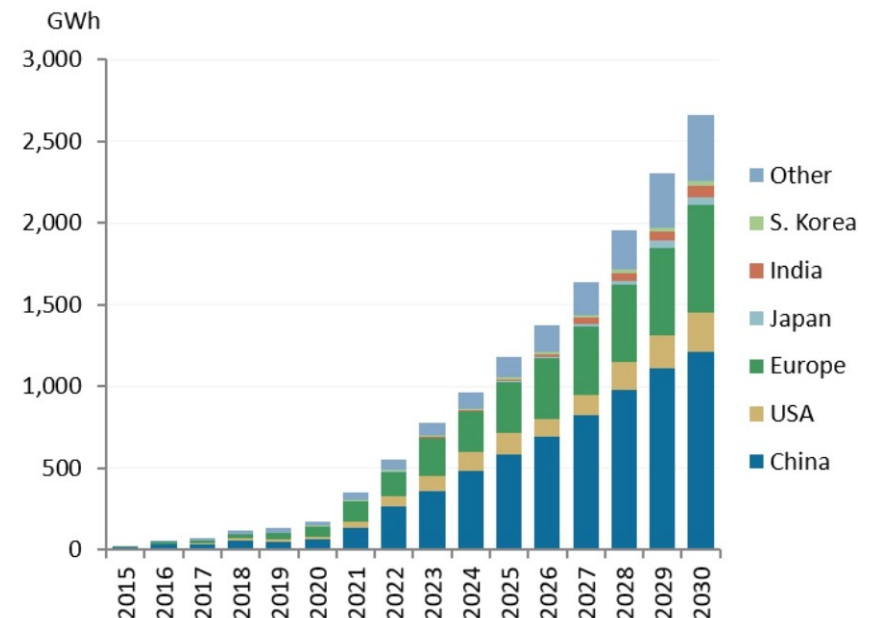
Source: Morgan Stanley Research estimates

S. Korea Batteries – EV: Secular Growth Expected Accordingly

EV Battery TAM by Region



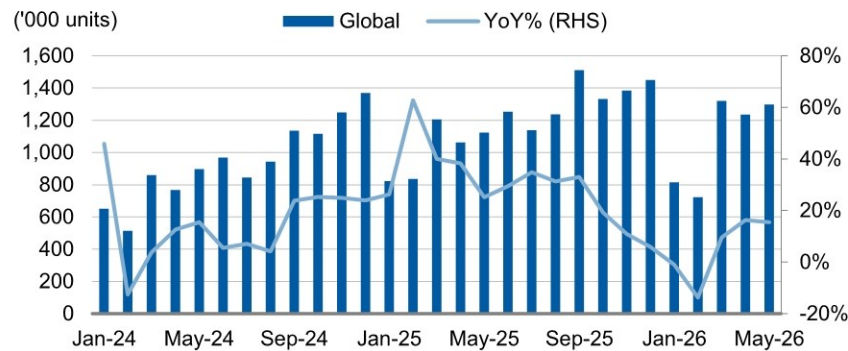
EV Battery Installation Demand by Region



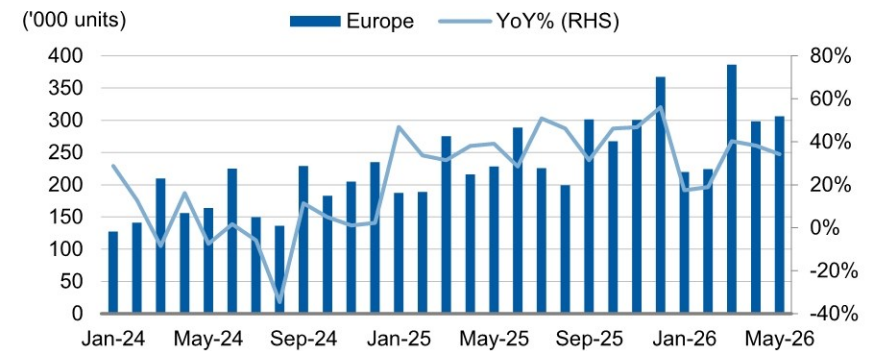
Source: Morgan Stanley Research estimates

S. Korea Batteries – EV: Where Are We Now?

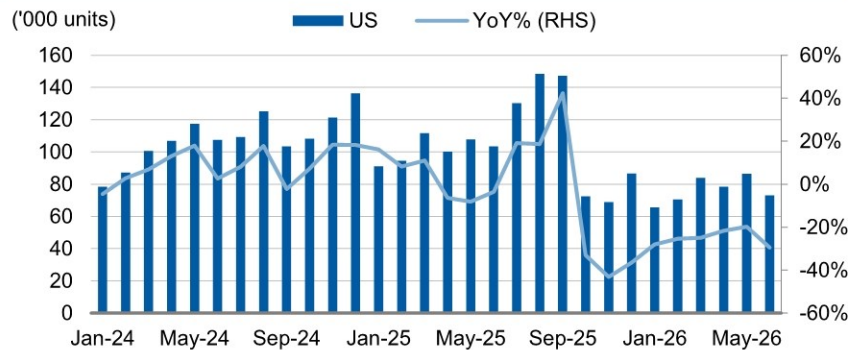
Global BEV Sales Monthly Trends



Europe BEV Sales Monthly Trends



US BEV Sales Monthly Trends



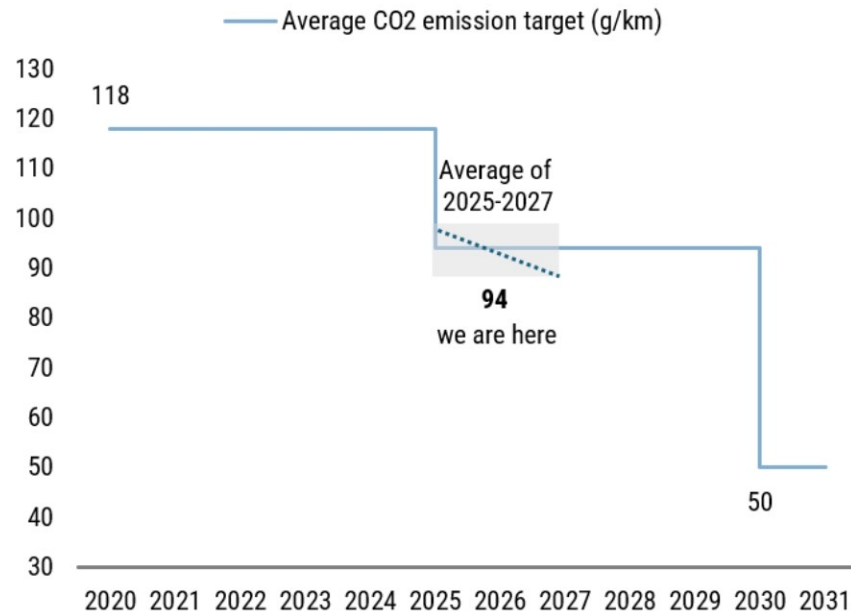
China BEV Sales Monthly Trends



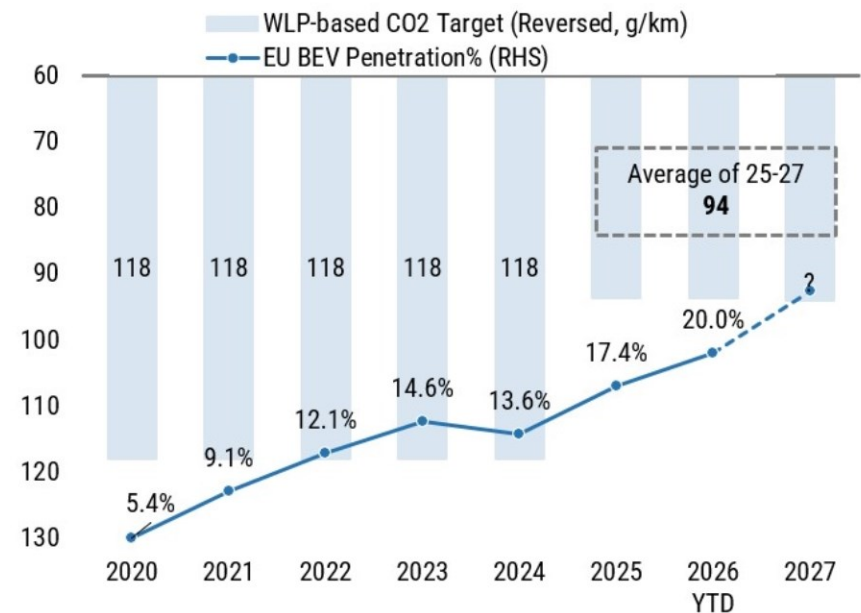
Source: Motor Intelligence, EV-Volume, Morgan Stanley Research

S. Korea Batteries – EV: Regulatory Push Supports EU EV Demand

Despite Relaxation of EU CO2 Emission Target...



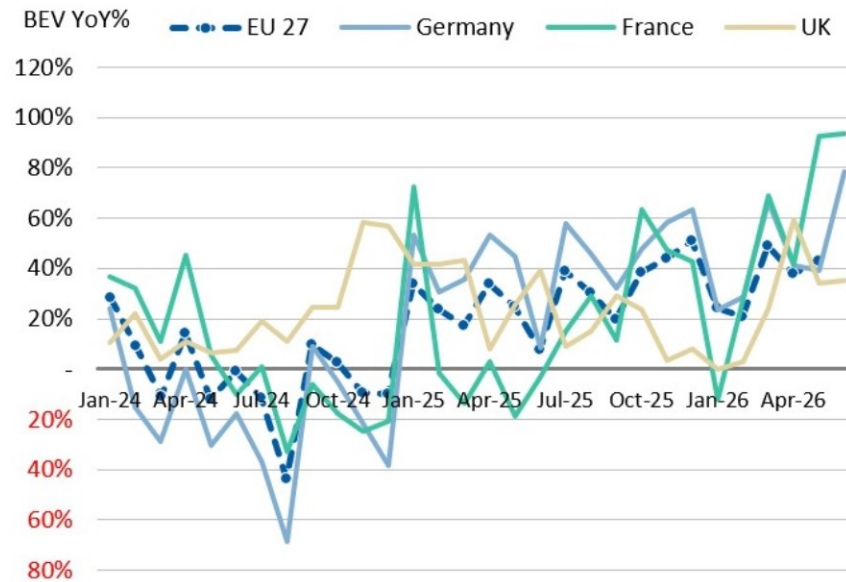
...BEV Sales Growth Remains Robust as OEMs Drive Compliance



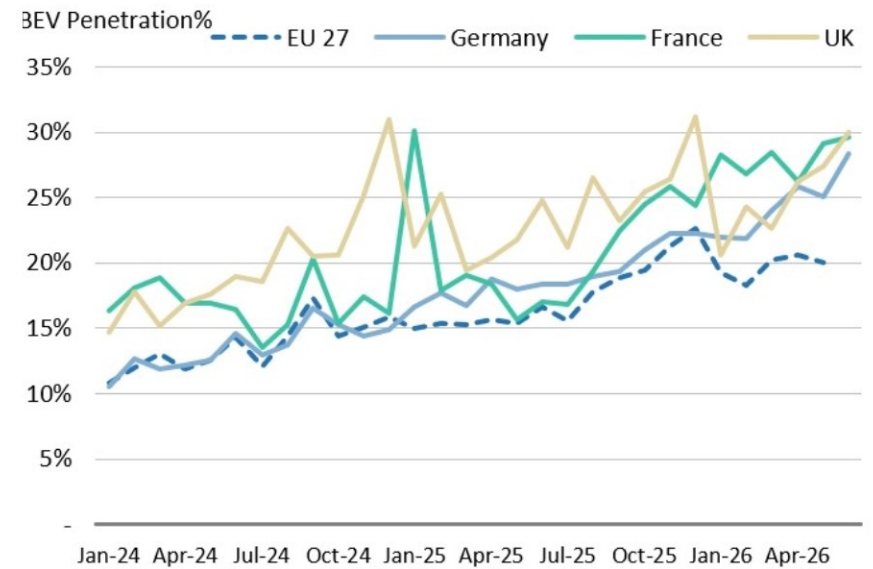
Source: EUR-LEX, EEA, ICCT, ACEA, Morgan Stanley Research estimates

S. Korea Batteries – EV: Healthy BEV Sales Continue in Europe

BEV YoY Growth Trends by Europe Region



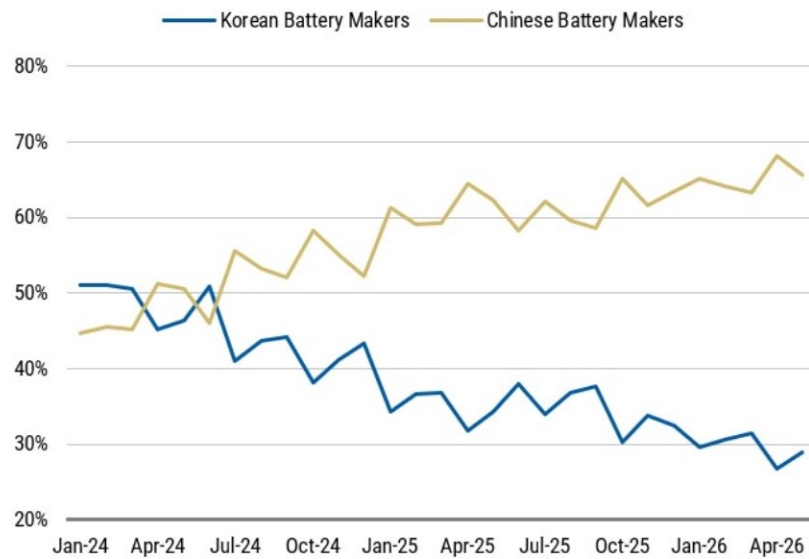
BEV Penetration Growth Trends by Europe Region



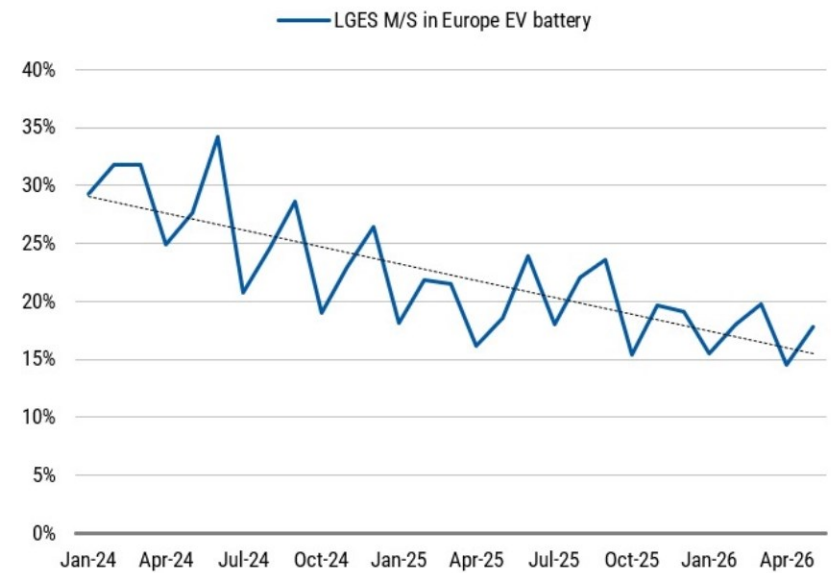
Source: ACEA, KBA, SMMT, ANFIA, Morgan Stanley Research

S. Korea Batteries – EV: Chinese Battery Makers Continue to Expand Shares in Europe

Battery Makers' Market Share in Europe



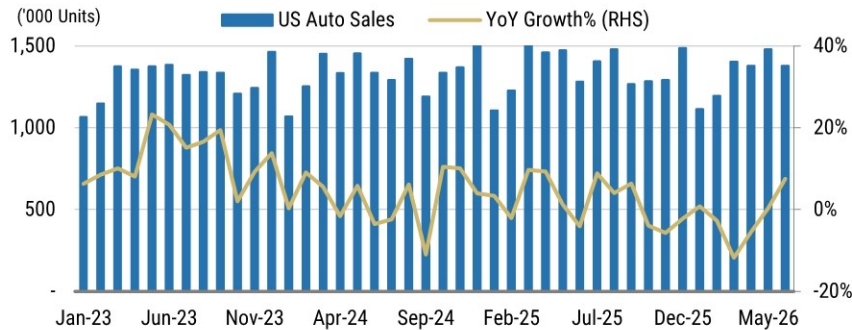
Korean Battery Makers' Market Share in Europe Keeps Slipping



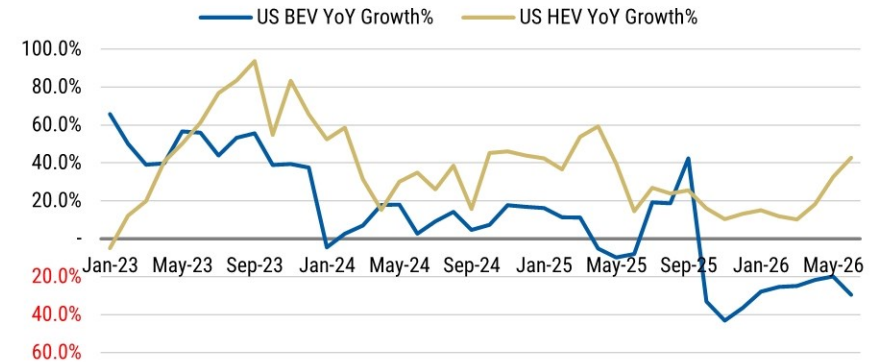
Source: SNER, Morgan Stanley Research

S. Korea Batteries – EV: US BEV Sales Remain Under Pressure after EV Tax Credit Sunset

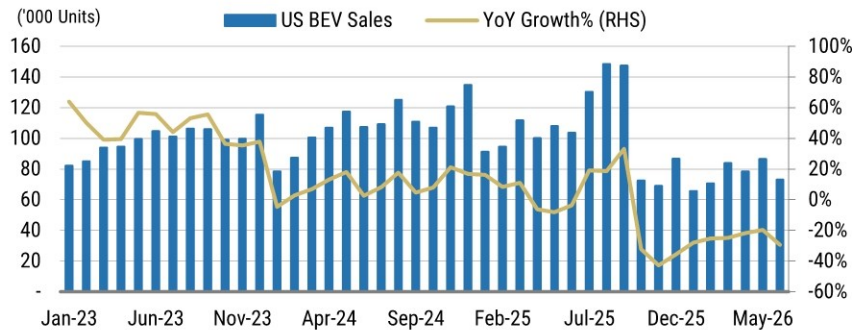
US Monthly Auto Sales



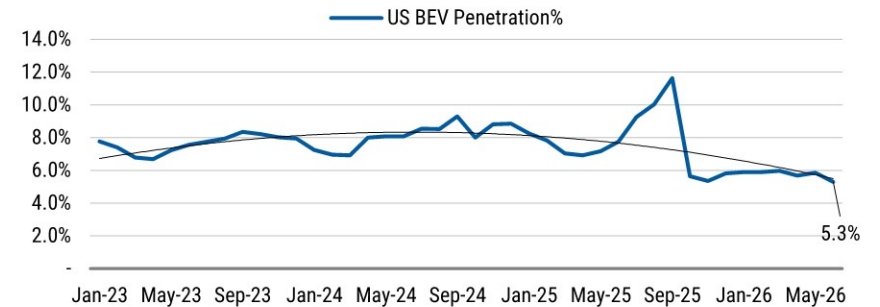
US HEV vs. BEV YoY Growth Trend



US Monthly BEV Sales Trend



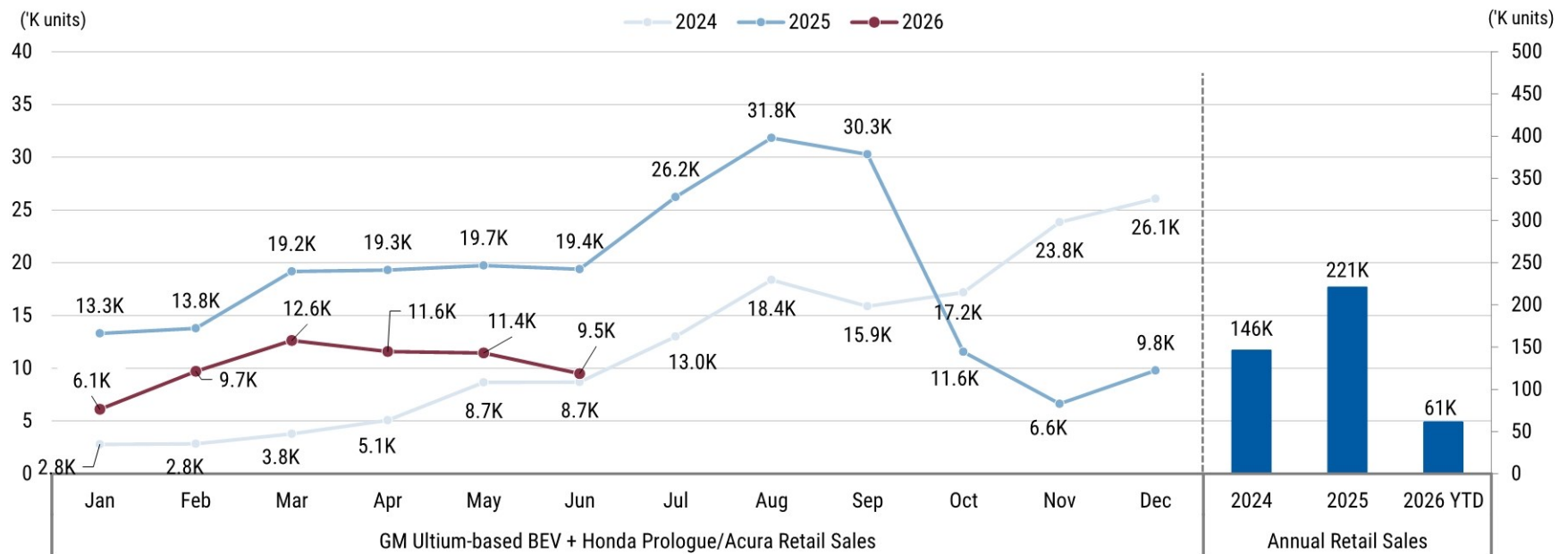
US BEV Penetration



Source: Motor Intelligence, Morgan Stanley Research

S. Korea Batteries – EV: Monthly EV Sales Trend for Key Customers

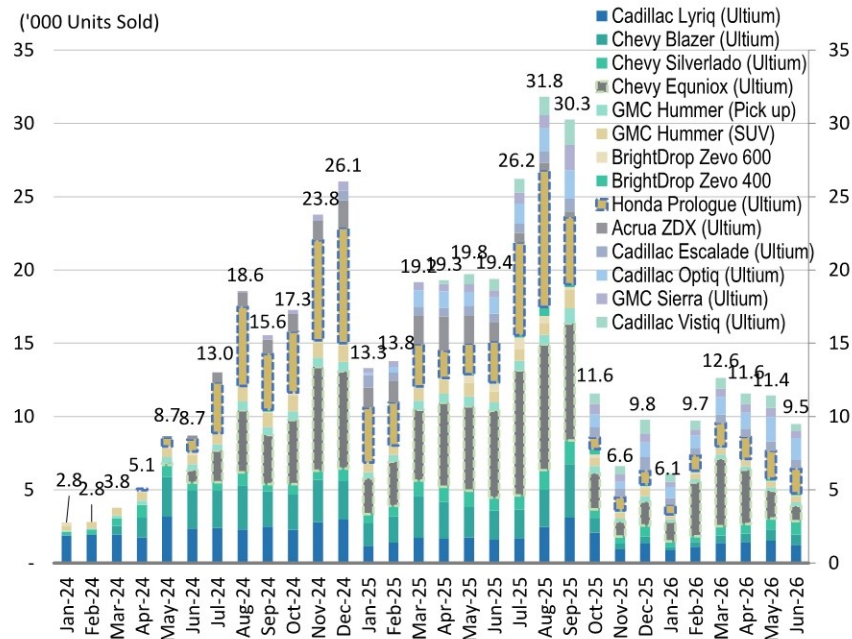
LG Energy Solution: Ultium Tracker



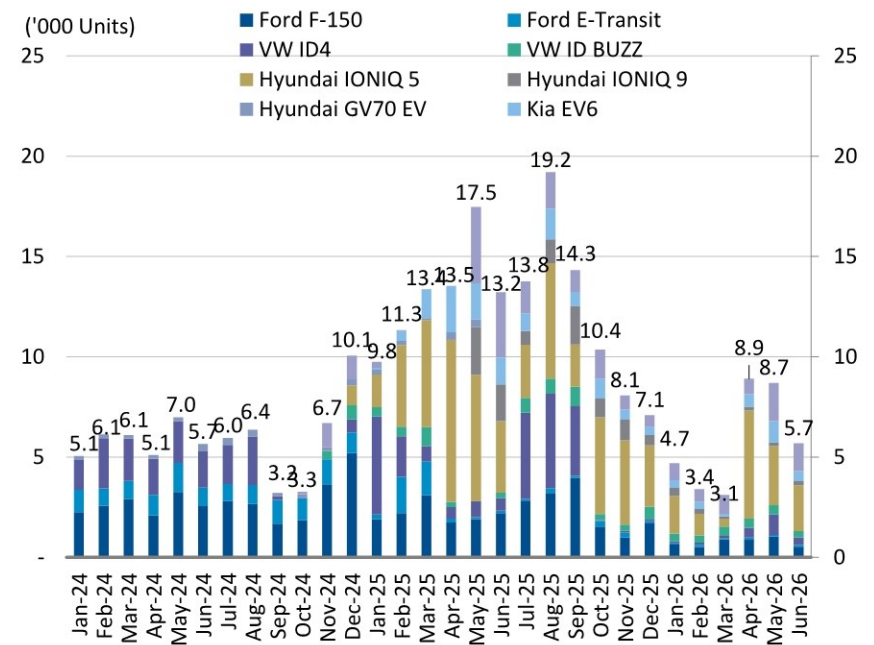
Source: Motor Intelligence, Company Data, Morgan Stanley Research

S. Korea Batteries – EV: Monthly EV Sales Trend for Key Customers

LG Energy Solution: GM EV Sales + Honda Prologue



SK On: Ford, Volkswagen and HMG EV Sales

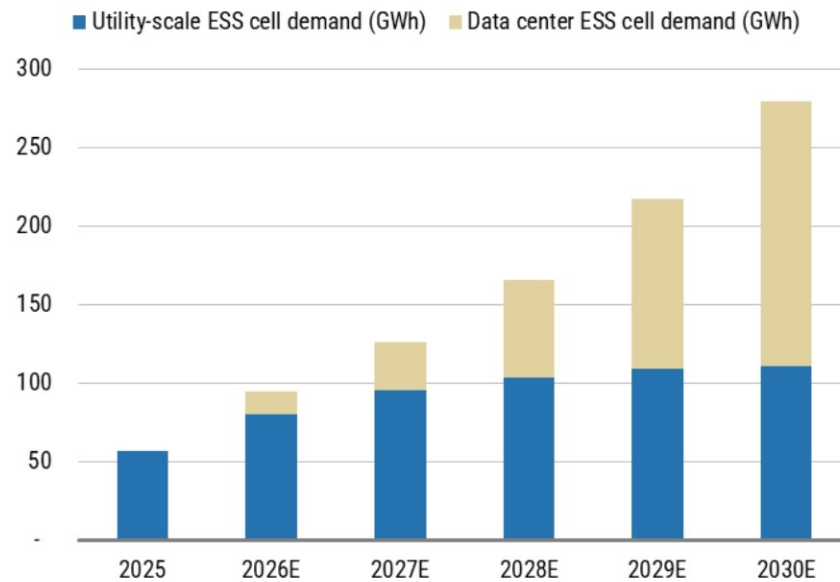


Note: US production data overlaid for Hyundai and Kia in SK On

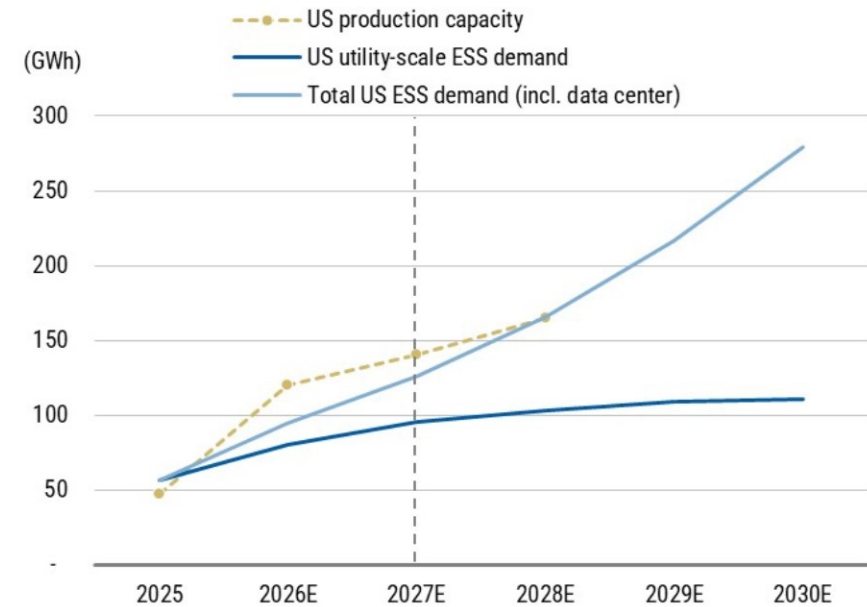
Source: SNER, Motor Intelligence, Company Data, Morgan Stanley Research

S. Korea Batteries – ESS: Beneficiary of the AI Theme

US ESS Cell Demand Increased ~57GWh in 2025 and Expected to Reach 279GWh in 2030



US ESS Cell Supply-demand Balance

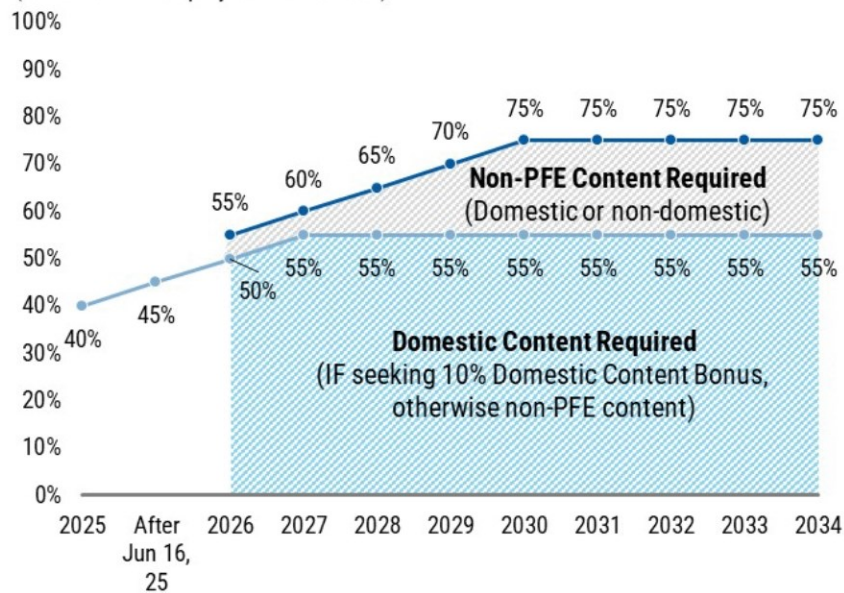


Source: Morgan Stanley Research estimates

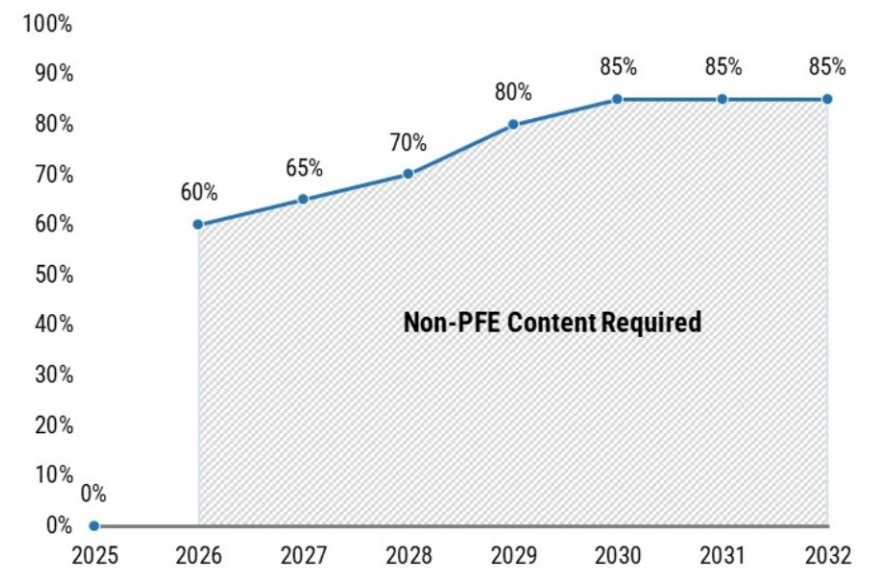
S. Korea Batteries – ESS: Government Policy Also Bodes Well

ITC Security with Limited Chinese Competition and Domestic Content Incentives

(Based on start of project construction)



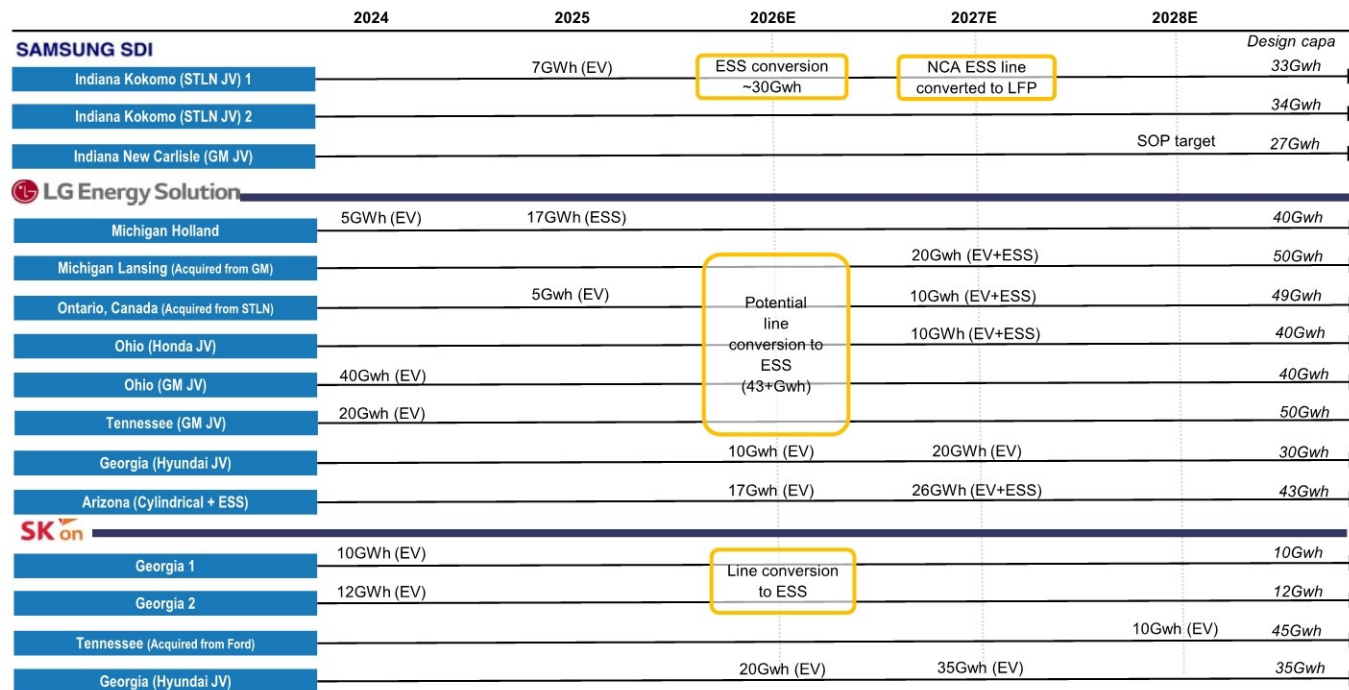
Amount of Non-FEOC Content Required for Section 45X Credit



Source: Company data, Morgan Stanley Research

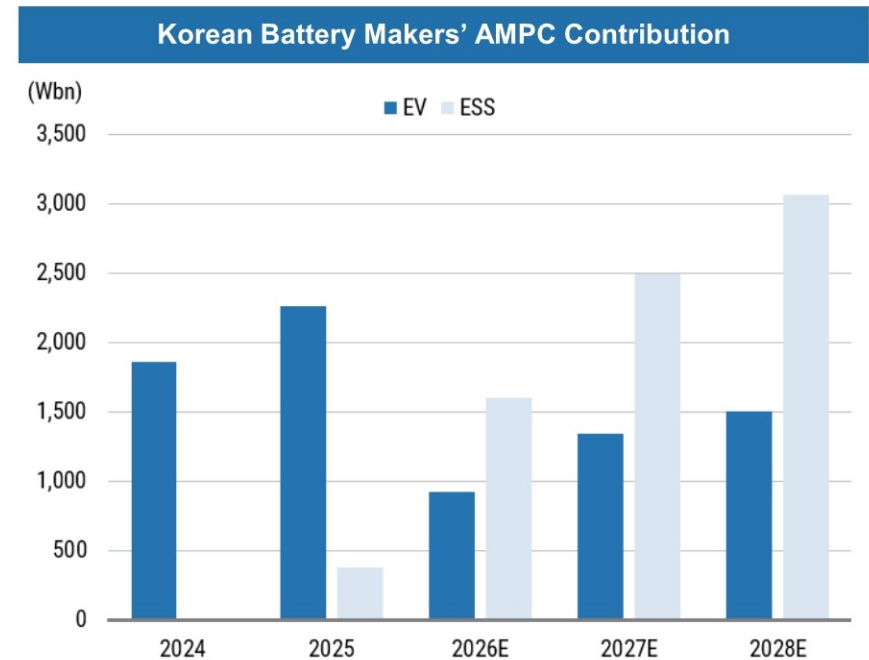
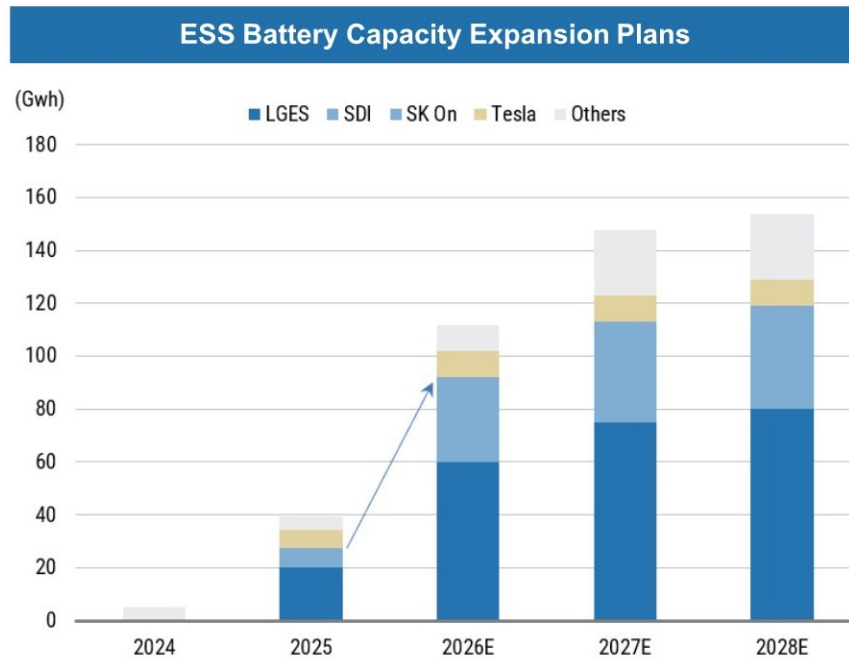
S. Korea Batteries – ESS: Converting Idle US EV Production Line

Korean Battery Makers Shift Idle EV Capacity to ESS to Improve Utilization



Source: Company Data, Morgan Stanley Research estimates

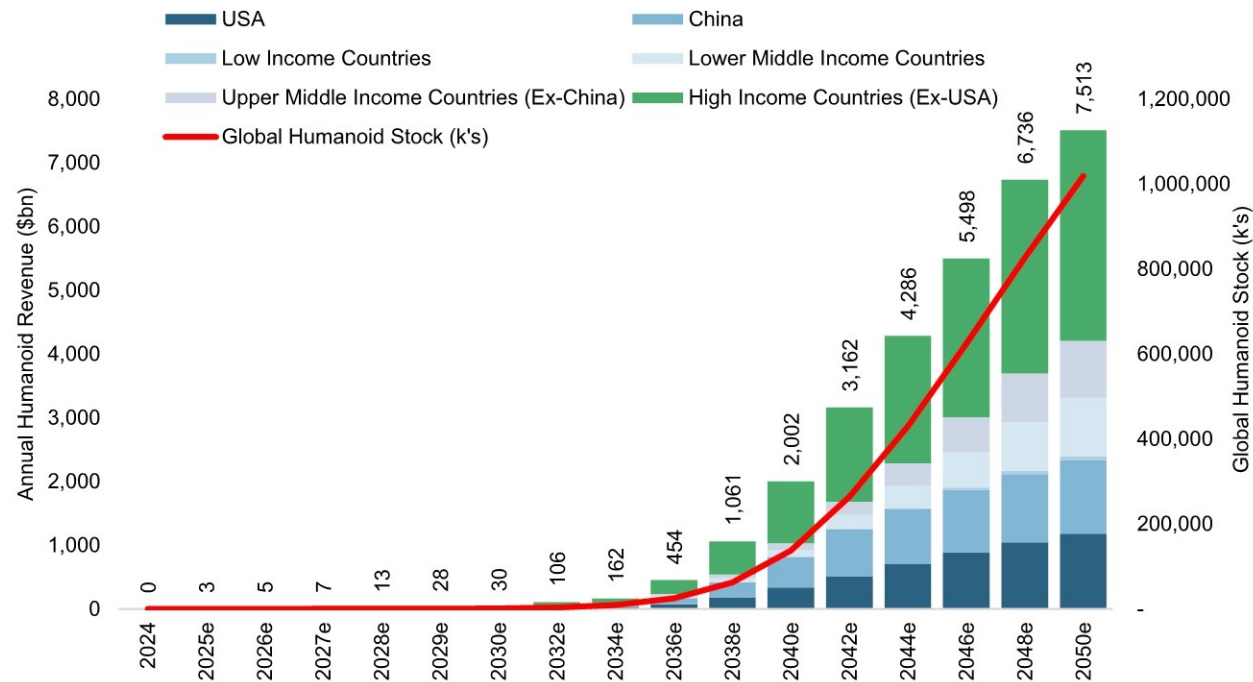
S. Korea Batteries – ESS: Execution Risks Remain



Source: Company Data, Morgan Stanley Research estimates

S. Korea Batteries – Humanoid Robotics: The Largest Embodied Opportunity

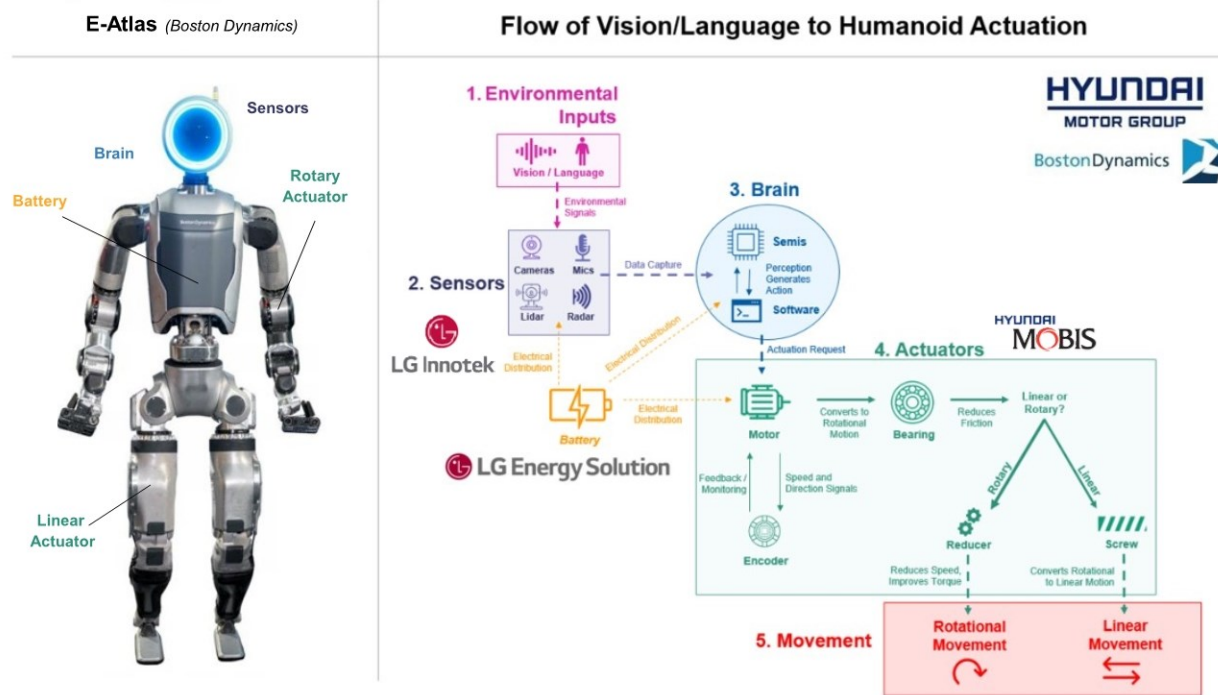
Global Humanoid Market Size and Stock – We Expect 1bn Stocks and US\$7.5tn TAM by 2050e



Source: Morgan Stanley Research estimates

S. Korea Batteries – Humanoid Robotics: Building the Humanoid Value Chain

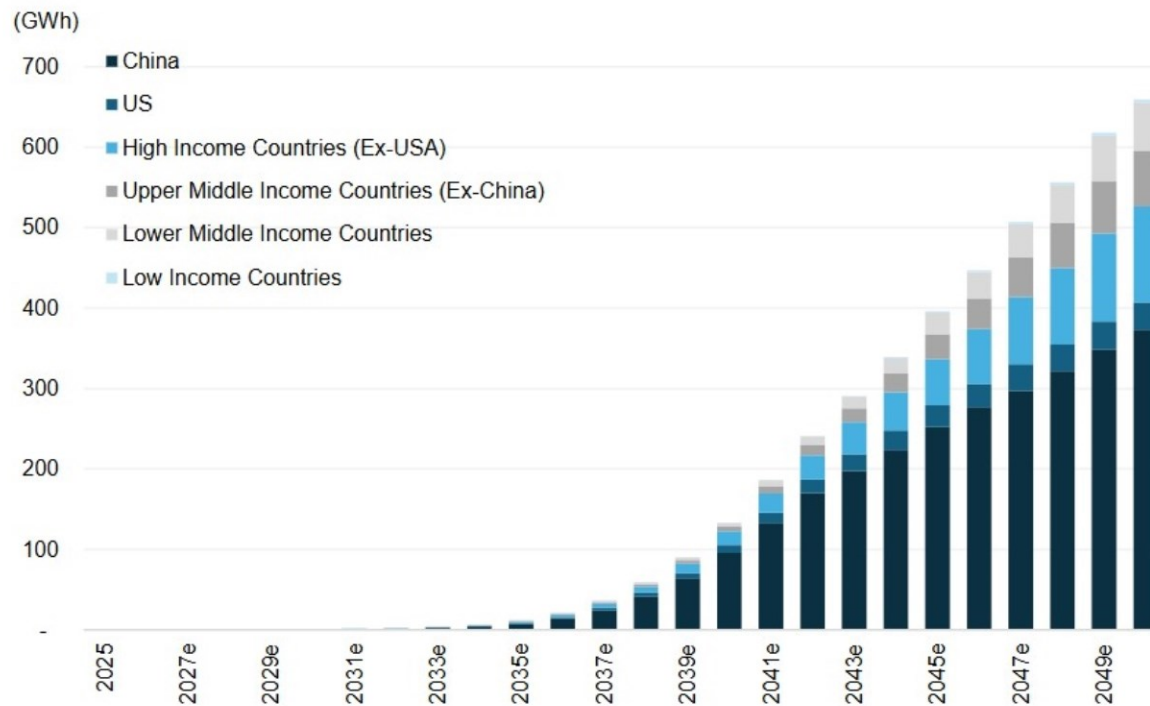
Series of Partnerships Span the Full Robotics Stack from Software to Hardware



Source: Company data, Morgan Stanley Research

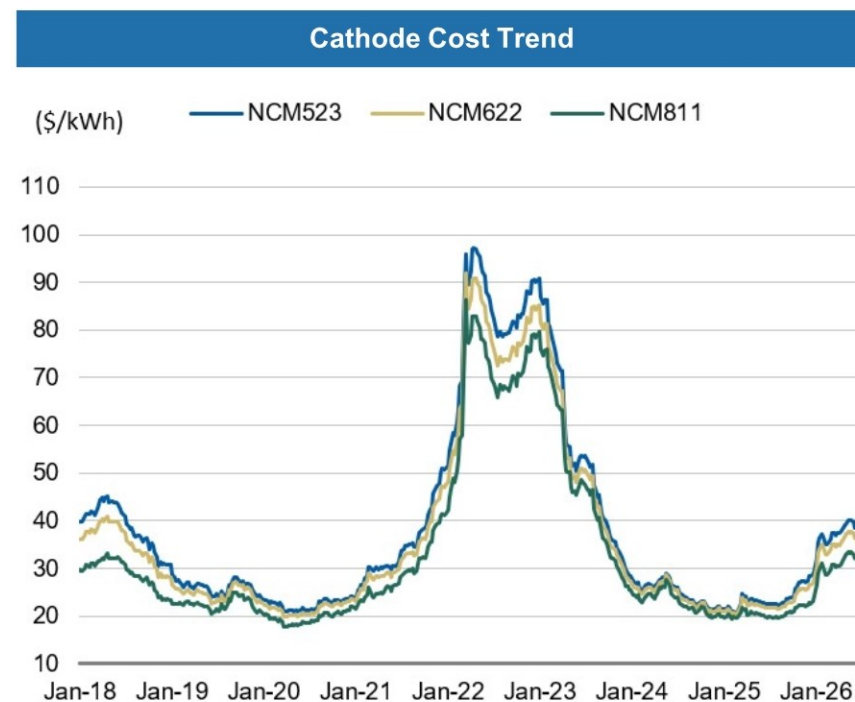
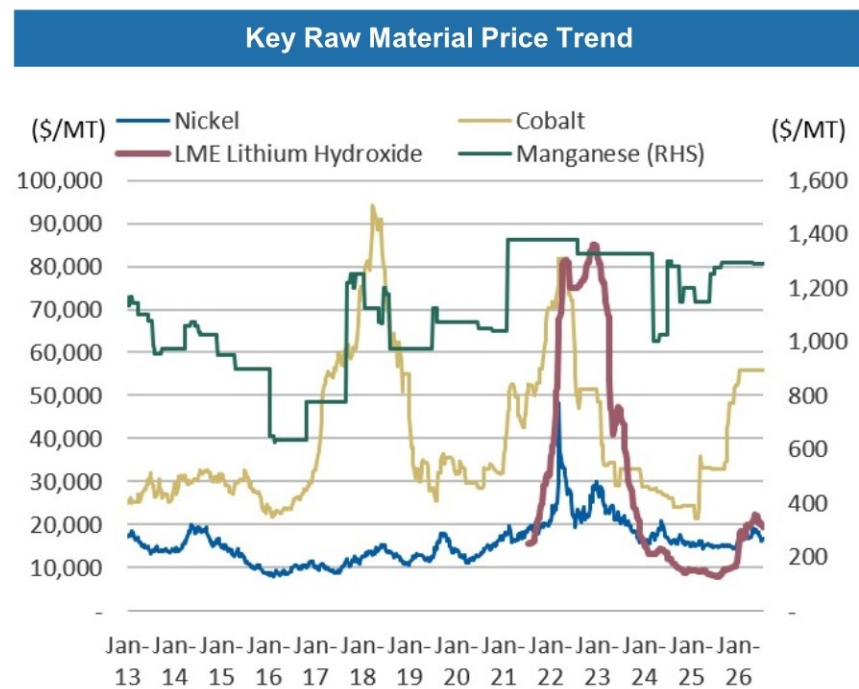
S. Korea Batteries – Humanoid Robotics: Total Addressable Market by Region

Battery Demand from Humanoids – 2Gwh/120Gwh/650Gwh by 2030/2040/2025 with Per-unit Battery Capacity of 2-4kWh



Source: Company data, Morgan Stanley Research estimates

S. Korea Batteries: Cathode Cost Trend



Source: Refinitiv, Morgan Stanley Research estimates

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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INDUSTRY COVERAGE: S. Korea Energy & Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/16/2026)
Young Suk Shin Korea Electric Power (015760.KS)	U (05/19/2026)	W34,050

LG Chem (051910.KS)	E (04/03/2025)	W260,500
Lotte Chemical Corp (011170.KS)	U (01/08/2025)	W61,000
POSCO (005490.KS)	E (01/29/2026)	W311,500
SK Innovation Co Ltd (096770.KS)	E (05/19/2026)	W121,400
S-Oil (010950.KS)	O (01/26/2026)	W144,900
Sung Kwang Bend Co Ltd (014620.KQ)	O (03/04/2025)	W25,900
TK Corp (023160.KQ)	E (04/23/2026)	W22,550

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: S. Korea Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/16/2026)
Young Suk Shin		
Hankook Tire & Technology Co Ltd (161390.KS)	O (11/10/2025)	W73,600
Hanon Systems (018880.KS)	U (01/14/2022)	W3,490
Hyundai MOBIS (012330.KS)	O (01/24/2025)	W482,000
Hyundai Motor (005380.KS)	O (11/27/2024)	W425,000
Kia Corp. (000270.KS)	O (04/26/2022)	W149,700
LG Energy Solution (373220.KS)	E (04/03/2025)	W334,000
Mando (204320.KS)	E (02/05/2024)	W44,800
Samsung SDI (006400.KS)	O (04/28/2026)	W434,500

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.